

System of National Accounts (SNA) 2008 Framework

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PROTOTYPE LEARNING MATERIAL NOTICE

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1. Introduction

The System of National Accounts 2008 (SNA 2008) is the internationally agreed standard for compiling and disseminating national accounts statistics. It was developed jointly by the United Nations, IMF, World Bank, OECD, and Eurostat and replaced the earlier SNA 1993.

The SNA provides a coherent, consistent, and integrated set of macroeconomic accounts that can be used to analyse the performance of an economy, determine economic policy, and make comparisons across countries and over time. India adopted the SNA 2008 framework with the base year revision to 2011-12, published in January 2015.

The SNA is organised as an integrated sequence of accounts covering:

- Production
- Income generation and distribution
- Accumulation (capital)
- Financial flows
- Balance sheets (stocks)

2. Key Concepts

2.1 Institutional Sectors

The SNA classifies all resident economic units into five institutional sectors:

1. Non-financial corporations
2. Financial corporations
3. General government
4. Households
5. Non-profit institutions serving households (NPISH)

All transactions are recorded between these sectors and with the rest of the world.

2.2 Production Boundary

The SNA production boundary defines what is and is not counted as economic production. It includes:

- All market production (goods and services produced for sale)
- Production for own final use (e.g., subsistence farming, own-account construction)
- Non-market production by government and NPISHs

It excludes: household domestic services (cooking, cleaning for own use), volunteer services, and illegal activities (though these are recommended for inclusion if significant).

2.3 Asset Boundary

Assets are entities owned or controlled by institutional units from which economic benefits are expected to flow in the future. The SNA 2008 expanded the asset boundary to include:

- Intellectual property products (R&D, software, databases)
- Land improvements
- Biological resources
- Financial assets and liabilities

2.4 Residence

Residence in the SNA is determined by the "centre of predominant economic interest" rule—an economic unit is resident in the territory where it engages in economic activities for one year or more, regardless of nationality. This is distinct from citizenship.

2.5 Valuation Principles

SNA 2008 uses consistent valuation principles:

- Outputs valued at basic prices (excluding taxes on products, including subsidies)
- Uses (intermediate/final) valued at purchasers' prices (including taxes, excluding subsidies)
- GDP at market prices reconciles the two via taxes minus subsidies on products

3. The Sequence of Accounts

3.1 1. Production Account

Records the production of goods and services. Resources: Output. Uses: Intermediate Consumption. Balancing item: GVA (or NVA after deducting CFC).

3.2 2. Generation of Income Account

Shows how GVA is distributed among factors of production. Resources: GVA. Uses: Compensation of employees, Other taxes on production (net). Balancing item: Gross Operating Surplus/Gross Mixed Income.

3.3 3. Allocation of Primary Income Account

Extends to include property income flows (interest, dividends, rent) between sectors and with the rest of the world. Balancing item: Gross National Income (GNI).

3.4 4. Secondary Distribution of Income Account

Records redistribution via current transfers (income taxes, social contributions, social benefits). Balancing item: Gross Disposable Income (GDI).

3.5 5. Use of Disposable Income Account

Shows how GDI is split between final consumption expenditure and saving. Balancing item: Gross Saving.

3.6 6. Capital Account

Records non-financial capital transactions. Resources: Gross Saving + Capital transfers received. Uses: Gross Fixed Capital Formation, Change in inventories, acquisitions less disposals of valuables. Balancing item: Net lending/borrowing.

3.7 7. Financial Account

Records transactions in financial assets and liabilities. Net lending/borrowing from capital account should equal net acquisition of financial assets minus net incurrence of liabilities. Discrepancy indicates statistical error.

3.8 8. Balance Sheets

Record stocks of assets and liabilities at beginning and end of each period. Changes in balance sheets explained by: transactions (from capital/financial accounts), other changes in volume, and holding gains/losses.

4. Key Changes: SNA 1993 to SNA 2008

Concept	SNA 1993	SNA 2008
R&D expenditure	Intermediate consumption	Capitalised (GFCF)
Military weapons	Not capitalised	Capitalised if used >1 year
Software	Partially capitalised	Fully capitalised
Defined-benefit pension	Off-balance-sheet	On employer's balance sheet
Financial intermediation (FISIM)	Narrow allocation	Broader allocation
Non-performing loans	At face value	At market/fair value

India's adoption of SNA 2008 (with 2011-12 base year) resulted in higher GDP estimates primarily due to capitalisation of R&D expenditure and improved coverage of financial services.

5. Application in India

India implements SNA 2008 with country-specific adaptations:

****Agriculture**:** Owner-occupied farmhouses and subsistence production included. Imputed rent of owner-occupied dwellings included in housing services.

****Financial Services**:** FISIM estimated using a reference rate approach; allocated between intermediate and final consumers.

****R&D**:** Included as GFCF from 2011-12 base. Data sourced from DSIR survey of R&D expenditure.

****Government**:** Non-market output valued at cost; includes central and state governments, panchayats, and urban local bodies.

****Rest of World Account**:** Compiled using RBI Balance of Payments data; GNI derived from GDP by adding net primary income from abroad.

6. Practical Example: The Sequence of Accounts in Action

Consider a simplified economy with one sector (households running farms):

****Production Account**:**

- Output: 11,000
- Intermediate Consumption: 1300
- GVA: 1700

****Generation of Income**:**

- Compensation of Employees: 1200
- Gross Mixed Income (farmer's income): 1500

****Allocation of Primary Income**:**

- $GNI = GVA + \text{Net primary income from abroad} = 700 + 50 = 1750$

****Use of Disposable Income**** (assuming no transfers):

- Gross Disposable Income = 1750
- Final Consumption: 1600
- Gross Saving: 1150

****Capital Account****:

- Gross Saving: 1150
- GFCF (new farm equipment): 1180
- Net Lending: 1150 " 1180 = " 130 (net borrower)

7. Data Quality Considerations

- ****Consistency across accounts****: The integrated nature of SNA means errors in one account propagate to others. Cross-checking balancing items across accounts is essential.
- ****Institutional sector classification****: Misclassification of entities (e.g., public enterprises as government vs. corporations) affects the sectoral distribution of accounts.
- ****Valuation****: Moving between market prices and basic prices requires accurate data on taxes and subsidies on products, which may be incomplete for sub-sectors.
- ****Financial account reconciliation****: The discrepancy between net lending/borrowing from capital account and financial account is a measure of overall statistical quality.
- ****Balance sheet data****: Asset stock data (especially for produced fixed assets) requires perpetual inventory models and assumptions about asset lifetimes and depreciation patterns.

8. Key Learning Points

1. SNA 2008 is the internationally agreed framework for national accounts; India adopted it with base year 2011-12.
2. The SNA classifies resident units into 5 institutional sectors and the rest of the world.
3. The production boundary defines what is included in GDP; the asset boundary defines what is capitalised.
4. The sequence of accounts links production through income distribution, saving, and capital formation to balance sheets.
5. Key SNA 2008 changes: capitalisation of R&D, military weapons, and software; improved FISIM; pension treatment.
6. Consistency across the sequence of accounts is a key quality indicator.

9. Learning Outcomes

On completing this material, you should be able to:

- Describe the structure, purpose, and international status of SNA 2008.
- Identify the five institutional sectors and explain the production and asset boundaries.
- Trace the sequence of accounts from production to balance sheets.
- Identify the key changes between SNA 1993 and SNA 2008 and their implications.
- Apply SNA 2008 concepts to India's national accounts compilation context.